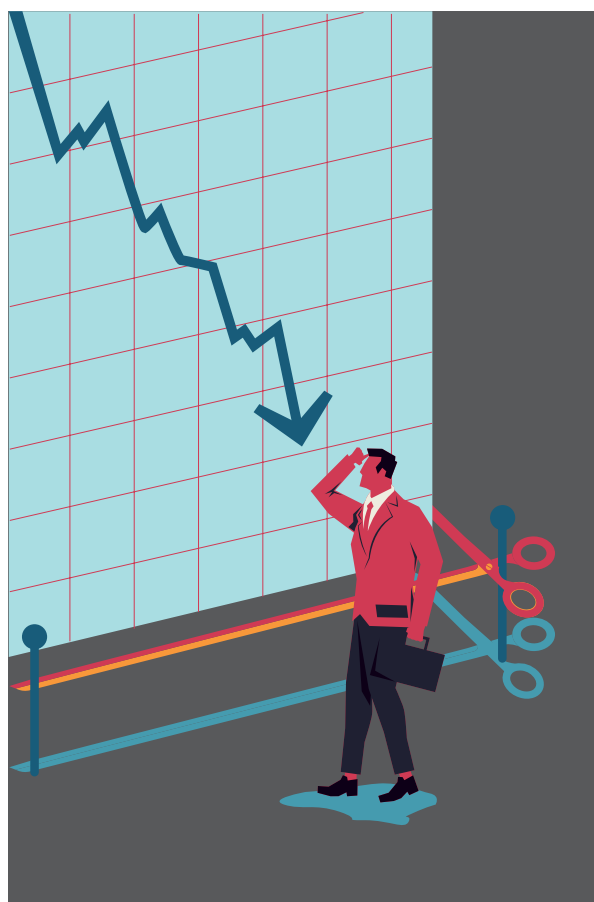


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CONCERNS REMAIN

- ➔ **Experts concerned about wide divergence in rates, inverted duty challenges**
- ➔ **Questions remain over future of compensation levy**
- ➔ **No mechanism to curb profiteering; pass-through of rate cuts depends on companies**
- ➔ **State finances are likely to be impacted. They are estimated to bear two-third of the losses**
- ➔ **Short-term consumption boost is likely, but more reforms are needed to offset the full impact of the 50% penal tariffs imposed by the US**

meeting to ensure timely roll out of the new rates.

Assuaging concerns, the revenue secretary says profiteering cases have been few and far between in GST with a total of 704 such cases worth ₹4,360 crore.

But Mukherjee of NIPFP says this needs to be monitored. "It is yet to be seen if companies choose to pass on the price cuts or instead increase the volume or quantity of the product being sold. Much of this will depend on markets and competition," he points out.

Govinda Rao also warns that due to the wide divergence between the 5% and the 18% rate, there could be instances of misclassification and litigation along with lobbying for moving more goods to the lower tax slab.

Beyond the immediate GST cuts, several factors will affect consumer behaviour. Salary hikes this year are seen to have averaged in the mid-single digits in most sectors. The spectre of layoffs amidst the uncertain global economic outlook and the rise of AI continue to dim optimism. But a good monsoon and the upcoming Eighth Pay Commission award may boost demand.

Exporters and MSMEs are also struggling to offset the dip in orders from the US by routing orders to other markets and await government support in the form of export incentives and liquidity enhancement measures.

Rajiv Kumar, former Vice Chairman of the NITI Aayog and chairman of Pahlé India Foundation, remains optimistic of the impact of the GST cuts on consumption and says the reduction of the tax to zero on a large number of essentials will put more money in the pockets of the poor and lower middle class.

However, like in the past, when corporate tax cuts of 2019 largely failed to nudge India Inc to invest, it has to be seen if people choose to save more or spend more. Besides, economists and policy experts are calling on the government to not stop at the GST rationalisation but also move on reforms in other areas like land and labour laws to provide a more sustainable boost.

The robust 7.8% GDP growth in the first quarter of the fiscal has given hope that the domestic economy can withstand a lot of this uncertainty through the sheer power of its internal engines of consumption and capex. Indicating nervousness of investors over the tariff uncertainty, the rupee has hit fresh lows and has once again breached the 88 level against the US dollar. Stock markets too have not reacted much to the GST cuts.

For now, the message from the government is clear—go out, shop and consume. Will consumers take the bait? **BT**

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